

HOW INFLATION AFFECTS INTEREST RATES

Interest rates and inflation are closely linked, and a change in one influences the other. Inflation is the decline of a currency's purchasing power due to an oversupply of money (see pp.132–135). A limited supply of goods and services, along with an oversupply of money, means that money devalues, and so more of it is required to obtain products.

A loan is a product and an interest rate the price paid for it, so if the value of money decreases, then commercial banks may charge a higher interest rate on their loans. Higher charges will make borrowing more expensive, resulting in fewer loans being taken out. This may ultimately impact on spending, causing the money supply to fall, as well as the rate of inflation.

NEED TO KNOW

- **Nominal rate** An advertised interest rate, which does not factor in the effect of inflation (or fees, or the effect of compound interest).
- **Real rate** Of particular interest to investors, this rate takes inflation into account and is calculated by subtracting the inflation rate from the nominal rate.

